VALUATION REPORT

Securities or Financial Assets

[SAMPLE] Sample Polymers Private Limited

Under the Insolvency and Bankruptcy Code, 2016

Valuation date: 01/04/2026

Prepared in the format specified by IBBI Circular No. IBBI/RV/103/2026 dated 15 June 2026

ILLUSTRATIVE SAMPLE - FICTIONAL DATA - NOT A REAL VALUATION

Executive Summary of the Valuation Report

Item	Details
Client / Appointing Agency	[SAMPLE] Mr. A. Example, Resolution Professional, IBBI/IPA-000/IP-N00000/2024-2025/00000
Details of the Corporate Debtor	[SAMPLE] Sample Polymers Private Limited, manufacturer of polymer granules. CIN U00000XX2010PTC000000. Registered office: 1 Example Road, Pune. Incorporated 01/04/2010.
Purpose of Valuation	Determination of fair value and liquidation value of the securities or financial assets of the corporate debtor under Regulation 35 of the CIRP Regulations.
Class of Asset	Securities or Financial Assets
Subject Asset	74% equity stake in Sample Packaging Private Limited, trade receivables, a loan to a related party, units of a debt mutual fund and bank balances.
Scope of Work	Fair value and liquidation value of the securities or financial assets as on the insolvency commencement date.
Insolvency commencement date (ICD)	01/04/2026
Date of appointment	20/04/2026
Inspection Date	05/05/2026
Report Date	30/06/2026
Fair Value	INR 57.14 crore
Liquidation Value	INR 35.41 crore
Details of the Registered Valuer	[SAMPLE] B. Example
Registration Number	IBBI/RV/00/0000/00000
Status of CoP as on appointment date	active
Valuation Date	01/04/2026
VRIN as generated from the website of the Authority	SAMPLE-VRIN-0000

a) Purpose and Scope of Work

The purpose of this valuation is to estimate the Fair Value and/or Liquidation Value of the Securities & Financial asset(s), as required under the Insolvency and Bankruptcy Code, 2016 and rules & regulations made thereunder.

As per the appointment letter dated 20/04/2026, the scope covers all securities and financial assets in the books of the corporate debtor as on the insolvency commencement date. Land and building and plant and machinery are valued by other registered valuers.

b) Details of the Registered Valuer & Registration Number

[SAMPLE] B. Example - Securities or Financial Assets

Registration Number: IBBI/RV/00/0000/00000

VRIN: SAMPLE-VRIN-0000. The VRIN is shown in the footer on the left side of each page.

c) Details of any other experts involved in the valuation process

None. No other expert was involved.

d) Disclosure of Valuer Interest or Conflict, if Any

The valuer has no personal, financial or professional interest in the corporate debtor or its subsidiary, and no conflict of interest with the client or stakeholders.

e) Identity of Client/Appointing Authority and Other Intended Users

Client/Appointing Authority: [SAMPLE] Mr. A. Example, Resolution Professional, IBBI/IPA-000/IP-N00000/2024-2025/00000

Other intended users: Committee of Creditors

f) Intended Use

This report is intended to determine valuation as per the provisions of the Insolvency and Bankruptcy Code, 2016 and rules and regulations made thereunder.

g) Details of Assets and/or Liabilities being valued

Subject asset(s): 74% equity stake in Sample Packaging Private Limited, trade receivables, a loan to a related party, units of a debt mutual fund and bank balances.

Asset	Category	Book value (INR crore)	Basis of valuation	Remarks
Equity shares of Sample Packaging Pvt Ltd (74%)	Unlisted equity	40.00	Valuation	Liquidation value reflects a forced sale of an unlisted stake
Trade receivables	Receivables	9.60	Receivables	See receivables schedule
Loan to Sample Trading LLP	Loans and advances	3.00	Input	Related party; not serviced since 2024
Units of a debt mutual fund	Mutual fund units	4.00	Input	NAV as on the valuation date
Balances with banks	Cash and bank	1.35	Input	

h) Background and Other Relevant Information about the Asset Being Valued

The corporate debtor holds 1,48,00,000 equity shares of INR 10 each in Sample Packaging Private Limited, an unlisted company with no trading history. The shares are held in dematerialised form and are not pledged. Trade receivables are spread across six customers. A loan was given to a related party, Sample Trading LLP, which has not serviced it since 2024. Surplus cash is held in a debt mutual fund and bank accounts.

i) Valuation Currency(ies) and Measurement

Valuation currency: INR. Amounts are in INR crore unless stated otherwise.

j) Sources of Information

- Audited financial statements of the corporate debtor and the subsidiary for FY24 to FY26
- Projections for FY27 to FY31 prepared by subsidiary management
- Shareholding pattern and demat statement
- Receivables ledger and ageing as on the insolvency commencement date
- Bank statements and mutual fund account statement
- Discussions with management along with the resolution professional

k) Basis(es) and Premise of Value Adopted

Basis Adopted

Valuation Purpose	Basis
Determination of fair value under the IBC	Fair value
Determination of liquidation value under the IBC	Liquidation value

The basis of valuations under IBC is to determine the fair value and liquidation value as per relevant regulations.

Premise Adopted

Asset Type	Premise Adopted	Remarks/Justification
Equity shares of Sample Packaging Pvt Ltd (74%)	Going concern	Liquidation value reflects a forced sale of an unlisted stake
Trade receivables	Orderly realisation	See receivables schedule
Loan to Sample Trading LLP	Orderly realisation	Related party; not serviced since 2024
Units of a debt mutual fund	Market value	NAV as on the valuation date
Balances with banks	Face value	-

l) Valuation Standards Followed

[SAMPLE] Valuation Standards notified by the Board. The valuer lists each standard and section applied here.

m) Valuation Approaches and Methods or Valuation Model(s) Applied

The income approach values the subsidiary on the cash flows it is expected to generate, using a discounted cash flow of free cash flow to the firm. The market approach values it on multiples of comparable listed companies. The cost approach is not used for the subsidiary because it does not reflect its earning capacity as a going concern.

Approach	Applicable	Method adopted	Weight	Reason
Income	Yes	Discounted cash flow (FCFF)	60%	Management projections are available and were discussed with the Committee of Creditors.
Market	Yes	Comparable companies (EV/EBITDA)	40%	Listed packaging companies with similar operations exist.
Cost	No	Adjusted net asset value	-	Not adopted: net assets do not reflect the subsidiary's earning capacity as a going concern.

Meetings with the Committee of Creditors

The methodology was explained to the Committee of Creditors at its meeting on 25/05/2026.

n) Relevant discounts and premiums

Adjustment	Applied to	Rate
Discount for lack of marketability	Concluded equity value of the valued entity	15.00%
Liquidation discount	Equity shares of Sample Packaging Pvt Ltd (74%)	45.00%
Liquidation discount	Loan to Sample Trading LLP	50.00%
Liquidation discount	Units of a debt mutual fund	2.00%
Receivable recovery haircuts	Trade receivables	See Annexure B

A 15% discount for lack of marketability is applied to the subsidiary's equity value because the shares are unlisted and a buyer would face a long sale process. Liquidation values apply recovery percentages that reflect a forced sale within the liquidation timeline.

o) Sources of Data and Inputs used along with rationale/justification

- Risk-free rate: yield on 10-year government securities
- Equity risk premium and beta: published market studies and comparable companies
- Comparable listed companies: five packaging companies (illustrative peers)
- Projections: subsidiary management, discussed with the Committee of Creditors

Comparable company data and the multiples derived from it are set out in Annexure A.

p) Description of Inspections and/or Investigations Undertaken

- Visit to the registered office on 05/05/2026
- Management interviews
- Review of the loan agreement with Sample Trading LLP and customer contracts

q) Assessment of Sustainability and Functional Factors Considered

Governance: the subsidiary has a three-member board and clean audit reports. Customers: the top three customers make up about half of revenue. Business risks: polymer price volatility and customer concentration.

r) Significant or Special Assumptions, and/or Limiting Conditions

- Reliance on management representations for projections
- No contingent liabilities beyond those disclosed in the audited accounts
- No pending litigation affecting the subsidiary's shares

Model conventions

- The valuation date is taken as the start of the first projected year.
- Cash flows are discounted from the middle of each year.
- The terminal value uses the Gordon growth method on the final year's free cash flow and is discounted from the end of the final projected year.

s) Value and Rationale for Valuation

Asset	Book value	Fair value	Liquidation value
Equity shares of Sample Packaging Pvt Ltd (74%)	40.00	43.21	23.77
Trade receivables	9.60	7.47	5.73
Loan to Sample Trading LLP	3.00	0.90	0.45
Units of a debt mutual fund	4.00	4.20	4.12
Balances with banks	1.35	1.35	1.35
Total (INR crore)	**57.95**	**57.14**	**35.41**

Value of the valued entity's equity by approach

Approach	Method	Equity value	Weight	Weighted
Income	Discounted cash flow (FCFF)	45.38	60%	27.23
Market	Comparable companies	103.70	40%	41.48

	(EV/EBITDA)			
Weighted equity value				68.70
Less: discount for lack of marketability			15.00%	10.31
Concluded equity value (INR crore)				**58.40**

Fair value combines the income and market approaches for the subsidiary, the expected recovery on receivables and the realisable value of the other assets. Liquidation value applies forced-sale recovery rates to each asset.

t) Caveats, Limitations and Disclaimers

[SAMPLE] Caveats, limitations and disclaimers as per the IBBI (Use of Caveats, Limitations, and Disclaimers in Valuation Reports) Guidelines, 2020. The valuer inserts the full text here.

u) Summary of Conclusions

The securities and financial assets of the corporate debtor have been valued using the approaches set out in section m. The values and workings are in section s and the annexures.

Fair value: INR 57.14 crore. Liquidation value: INR 35.41 crore. Book value: INR 57.95 crore.

v) Annexures

Annexure	Status
Appointment letter	Yes
Engagement terms	Yes
Financial statement extracts	Yes
Minutes of the meetings/discussions held with Committee of Creditors	Yes
Photographs or screenshots (if applicable)	N/A: no site photographs are relevant to securities or financial assets
Copy of engagement letter of expert, if involved	N/A: no expert was involved
Annexure A: Comparable company analysis	Attached
Annexure B: Computation sheets	Attached

Annexure A: Comparable Company Analysis

INR crore. Multiples are not meaningful (n.m.) where the denominator is zero or negative.

Company	EV/Revenue	EV/EBITDA	P/E
Illustrative Peer 1	1.37x	9.03x	17.33x
Illustrative Peer 2	1.29x	9.31x	18.24x
Illustrative Peer 3	1.43x	10.20x	19.56x
Illustrative Peer 4	1.00x	8.89x	25.00x
Illustrative Peer 5	1.17x	n.m.	n.m.

Statistic	EV/Revenue	EV/EBITDA	P/E
Min	1.00x	8.89x	17.33x
Median	1.29x	9.17x	18.90x
Mean	1.25x	9.36x	20.03x
Max	1.43x	10.20x	25.00x

Item	Value
Selected EV/EBITDA (median)	9.17x
Subject metric (latest actual year)	13.00
Enterprise value	119.20
Less: debt	18.00
Add: cash	2.50
Equity value	103.70
Value per share (INR)	51.85
Excluded (multiple not meaningful)	Illustrative Peer 5

Annexure B: Computation Sheets

B1. Cost of capital

Input	Value
Risk-free rate	6.80%
Beta	1.10
Equity risk premium	7.00%
Size / company-specific premium	3.00%
Cost of equity	17.50%
Pre-tax cost of debt	10.50%
Tax rate	25.17%
Debt / (Debt + Equity)	25.00%
WACC	15.09%
Terminal growth	4.00%

B2. Discounted cash flow (INR crore)

Year	Revenue	EBITDA	D&A	Capex	Incr. NWC	FCFF	Period	Factor	PV
FY27	99.00	13.90	3.60	4.60	0.80	5.91	0.5	0.9321	5.51
FY28	104.50	14.80	3.80	4.80	0.90	6.33	1.5	0.8099	5.13
FY29	110.00	15.70	4.00	5.00	0.90	6.86	2.5	0.7037	4.82
FY30	115.50	16.60	4.20	5.20	0.90	7.38	3.5	0.6115	4.51
FY31	121.00	17.50	4.40	5.40	0.90	7.90	4.5	0.5313	4.20

Item	Value
Sum of PV of FCFF	24.17
Terminal value	74.12
PV of terminal value	36.71
Enterprise value	60.88
Less: debt	18.00
Add: cash	2.50
Equity value	45.38
Value per share (INR)	22.69

B3. Sensitivity of equity value (INR crore): WACC vs terminal growth

WACC \ g	3.00%	3.50%	4.00%	4.50%	5.00%
13.09%	53.32	55.81	58.59	61.68	65.16
14.09%	47.15	49.14	51.32	53.73	56.41
15.09%	42.02	43.62	45.38	47.29	49.40
16.09%	37.68	39.00	40.43	41.98	43.67
17.09%	33.96	35.06	36.24	37.52	38.90

B4. Receivables (IBBI Part I(c))

Debtor	Nature	Related	Secured	Disputed	Age	Amount	FV %	LV %	Remarks
Customer A	Trade receivable	No	No	No	<3 months	3.20	95%	80%	-
Customer B	Trade receivable	No	No	No	<3 months	2.10	95%	80%	-
Customer C	Trade receivable	No	No	No	3-6 months	1.60	85%	60%	-
Customer D	Trade	No	No	No	6-12	1.20	60%	35%	-

	receivable				months				
Customer E	Trade receivable	No	No	Yes	>12 months	0.90	20%	5%	Disputed quality claim; legal notice sent
Customer F	Trade receivable	No	No	No	>12 months	0.60	30%	10%	Slow payer

Age bucket	Gross	Fair value	Liquidation value
<3 months	5.30	5.04	4.24
3-6 months	1.60	1.36	0.96
6-12 months	1.20	0.72	0.42
>12 months	1.50	0.36	0.11
Total	**9.60**	**7.47**	**5.73**